

Vijay Kumar Singhania vs Bank Of Baroda & Anr on 13 December, 2023

Author: Ashok Bhushan

Bench: Ashok Bhushan

NATIONAL COMPANY LAW APPELLATE TRIBUNAL, PRINCIPAL BENCH, NEW DELHI

Company Appeal (AT) (Insolvency) No.1058 of 2023

(Arising out of Order dated 26.07.2023 passed by the Adjudicating Authority

(National Company Law Tribunal), New Delhi Bench {Court-II} in CP No.(IB)-39(ND)/2023)

IN THE MATTER OF:

Vijay Kumar Singhania

Having Office At: 51, Panchanna Gram, EM Bypass,

Kolkata 700039, West Bengal ... Appellant

Vs

1. Bank of Baroda,

Through Its Senior Manager,

Zonal Stressed Assets Recovery Branch

Located At: 4th Floor, Rajendra Bhawan,

Rajendra Place, New Delhi-110008

2. Sunil Kumar Gupta

Interim Resolution Professional For Cygnus Splendid Limited

B-10, Magnum House-1, Karampura Commercial Complex,

Shivaji Marg, New Delhi, Delhi, 110015 ... Respondents

Present:

For Appellant: Mr. Deepak Khosla, Mr. Ajay K. Jain, Mr. Yash Karan Jain, Advocates

For Respondent: Mr. Kush Sharma, Miss Asiya Khan, Advocates for R-1

K.K. Mishra, Sahil Nagpal, Nitin Mohan Mathur, Nikita Rana,

Nikhil Maan and T. Jain, Advocates for R-2

JUDGMENT

ASHOK BHUSHAN, J.

This Appeal, by a Suspended Director of the Corporate Debtor has been filed challenging the order dated 26.07.2023 passed by National Company Law Tribunal, New Delhi Bench (Court-II) admitting Section 7 Application filed by Bank of Baroda (Respondent No.1 herein).

2. Brief facts of the case, giving rise to the Appeal are:

(i) The Corporate Debtor - Cygnus Splendid Limited prior to its incorporation under the Companies Act, 1956 was a partnership firm viz M/s Cygnus Splendid and for its business purpose obtained Term Loan and Cash Credit Facility from Bank of Baroda by sanction letter dated 11.10.2012.

(ii) After being incorporated as Registered Company, Bank of Baroda revised/sanctioned existing credit facility in favour of Corporate Debtor on the terms and conditions as mentioned in the Sanctioned Letter dated 18.02.2014, which consisted Term Loan Facility for an amount of Rs.9,02,50,000/- payable to the Applicant on demand together with interest @ 3.75% above Base Rate of the Bank plus 0.15% tenor premium per annum with monthly rests. Cash Credit (Hypothecation) facility was sanctioned for an amount of Rs.3,64,00,000/- payable on demand together with interest thereon @ 3.25% above Base Rate of the Bank per annum with monthly rests.

(iii) The Corporate Debtor did not operate the account in accordance with banking norms and failed to maintain financial discipline and defaulted to pay the instalments of loan amounts as also the interest due thereon. The facility extended to the Corporate Debtor were classified as Non-Performing Asset ("NPA") with effect from 13.03.2017.

(iv) The Bank filed OA No.615 of 2017 on 26.05.2017 against the Corporate Debtor and its guarantor for recovery of amount of Rs.7,85,62,274/- along with interest. The Bank of Baroda, before filing the above OA, has issued a Demand Notice dated 06.05.2017 under Section 13(2) of the Securitization and Reconstruction of Financial Assets and Enforcement of Security Interest ("SARFAESI") Act, 2002. The loan having not been discharged, the Bank proceeded under Section 13(4) of the SARFAESI Act and took symbolic possession of the secured immovable properties of the Corporate Debtor through possession notice dated 13.09.2017.

(v) The Appellant on 03.01.2018 and 10.01.2018 gave settlement proposal for Rs.275 lacs and Rs.280 lacs respectively.